GMS WEEKLY

Your Source for Recycling News

October 14th, 2022
Volume 243, Issue 1052
Week 41

Highlights:

- **Withdrawing.**
- **No sales.**
- **Currency chaos.**
- **Idle yards.**
- **Bleak outlook.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"No one changes the world who isn't obsessed."

– Billie Jean King

MARKET COMMENTARY

GLUM & GLOOMY!

Any vessels that were made available over the past few weeks have swiftly been withdrawn as recycling markets show an ineptitude to offer any sort of serious numbers, having seemingly forgotten how to buy ships after a prolonged period on the sidelines.

Consequently, there have been no market sales for another week, especially as freight markets continue to impress across all sectors and recycling markets remain unchanged, depressed, and starved of tonnage all at once.

Constant currency depreciations have been the chief culprit and there seems to be a lack of confidence to import vessels, with banks being much stricter on sanctioning precious U.S. Dollar Letters for Letter of Credit (L/Cs) for vessels for recycling.

Most yards in India, Pakistan Bangladesh, and even Turkey, are therefore lying idle and will be expected to remain that way (likely) for the rest of the year, with sentiments and levels so depressed across the board.

Demand for new vessels is firming, but at completely unworkable numbers for Owners and Cash Buyers alike, especially given the decent earnings that the majority of these ships continue to make.

As such, for another week, the outlook across all sub-continent markets stays glum and gloomy, with little meaningful activity to talk of and deteriorating sentiments & pricing afflicting the industry.

For week 41 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
3	India	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

GMS celebrates its 30th year in operation in Dubai this week, and we thank all our friends, business associates, partners and all of our team members in helping us reach this incredible milestone.

WE THANK YOU ALL!

BANGLADESH

NOT SERIOUS!

Lacking in sales.

Despite being presented with a few potential candidates, Bangladesh Recyclers feel as if they have the prerogative to pick-and-choose all from an absolutely shoddy number of vessels on offer!

With a lack of any serious offers and what appears to be a nervy / tentative demand, Cash Buyers are therefore diverting their vessels away from Chattogram or put their respective units back into trading lanes.

Quiet year end.

Fundamentals remain shaky as the BDT gradually declines by the week, losing another 5% as it approaches BDT 105 against the U.S. Dollar.

Although steel plate prices did jump USD 20/Ton, the level they have fallen to over recent weeks has kept the pressure on local frustrations and the willingness of Chattogram Recyclers to engage in discussions.

As it therefore stands, we expect a very quiet end to the year for Bangladesh, with minimal sales and / or negotiations, thanks to the currently enforced L/C limits and opportunistic / non-serious offers being tossed around.

NO MARKET SALES REPORTED

INDIA

SPOOKED!

India remains stranded as the lowest sub-continent destination for another week, but there are few firm candidates available to work on in order to test that theory, as yards across the sub-continent (especially Indian and Pakistan) continue to dry out.

Drying out.

Even offshore, specialist, and HKC vessels have been lacking of late and with such a dearth in supply, perhaps End Buyers will have to consider temporarily shuttering their plots, rather than leaving them operative and paying local labour, in the absence of any tonnage to work on.

Above 80.

The Indian Rupee continues to fluctuate, as it jumps between Rs. 82.60 to Rs. 82.26 against the U.S. Dollar, whilst local steel plate prices have also endured further falls this week, leaving End Buyers spooked and on edge.

NO MARKET SALES REPORTED

PAKISTAN

ENCOURAGEMENT!

Currency gains.

With a currency that has started to give some encouragement as it appreciates by the week (not surprising, given how far it has fallen), Pakistan is perhaps the market that has seen the most improvement and re-assurance of late.

It will hardly be a feat to challenge an altogether dormant Bangladesh, but any larger LDT tonnage now available seems like it could be heading for Gadani shores.

Looking up, finally.

Notwithstanding, the shortage of tonnage only seems to exacerbate an already dwindled situation. Evidence of which presents itself with the fact that there no new arrivals in Gadani this week.

Overall, after a catastrophic year that has seen currency collapse, flooding and even a political coup, there seems to be some a positive news for Pakistani Recyclers as we enter the final chapter of the year for the ship recycling industry and Pakistan as a whole.

NO MARKET SALES REPORTED

TURKEY

QUIET!

The Turkish market went through a silent and unchanged state since last week.

Fundamental moving.

The only movement critical to the domestic ship recycling sector that is recording any movements (and not in the right direction) is the Turkish Lira, which finds itself hovering just north of TRY 18.50 against the U.S. Dollar.

No market tonnage, weak fundamentals, pricing that has fallen USD 250/MT and sentiments in the doldrums, has left Turkey in a prolonged quietened state.

Doldrums

NO MARKET SALES REPORTED

AMAZING FACTS

- *Japan released sushi-inspired Kit Kats. For a limited time in 2017, Tokyo's Kit Kat Chocolatory shop made three types of the chocolate bar that were inspired by sushi but didn't actually taste like raw fish. The tuna sushi was raspberry, the seaweed-wrapped one tasted like pumpkin pudding, and the sea urchin sushi was the flavor of Hokkaido melon with mascarpone cheese. All were made with puffed rice, white chocolate, and a bit of wasabi.*
- *The word "aquarium" means "watering place for cattle" in Latin. Of course, today's aquariums aren't for cows. The first aquarium that looks like what you'd imagine was created in 1921 and opened in 1924 in England.*
- *An employee at Pixar accidentally deleted a sequence of Toy Story 2 during production. Ed Catmull, the cofounder of Pixar, wrote in his book, Creativity Inc., that the year before the movie came out, someone entered the command '/bin/rm -r -f *' on the drive where the files were saved, and scenes started deleting. It would have taken a year to recreate what was deleted, but luckily another employee had a backup of the entire film on her laptop at home.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Vijaya Dashami October 09 – Eid-E-Milad October 24 – October 27 – Diwali	October 07 – October 25 October 25 – October 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Durga Puja October 09 – Eid-E-Miladun-Nabi (S)	October 08 – October 11 October 24 – October 27

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
October 1 – October 7 – National Day	October 9 – Eid October 24 – Founding Day	October 28 – October 29 – Republic Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of October 14, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Deed 1	1,986	General Cargo	Arrived September 29
2	*Aba IV*	*7,926*	*Jackup Rig*	*Beached October 13*
3	Louisiana (Under Tow)	16,751	MODU	Arrived October 14
4	Jaguar (Under Tow)	26,545	Drill Rig	Arrived October 14
5	*Falcon Spirit*	*22,793*	*FSPO*	*Beached October 12*
Total Tonnage		**76,001**		

CHATTOGRAM - Port Position as of October 14, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	*Beilun 6*	*8,015*	*Bulk Carrier*	*Beached October 12*
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*Mar*	*10,800*	*RoRo*	*Beached October 13*
5	Minister	836	LPG Tanker	Arrived October 10
6	*Oras*	*1,879*	*Container*	*Beached October 08*
7	*Petrogas 5*	*904*	*LPG Tanker*	*Beached October 13*
8	*Starlet*	*23,684*	*Bulk Carrier*	*Beached October 09*
9	*Strovolos*	*9,368*	*Tanker*	*Beached October 08*
10	Uei Maru	757	General Cargo	Arrived October 09
11	*Uranus*	*39,198*	*Tanker*	*Beached October 12*
12	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**128,972**		

GADANI - Port Position as of October 14, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Cheval Blue*	*21,000*	*Tanker*	*Beached October 08*
2	*Trainer*	*2,470*	*Crane Barge*	*Beached October 09*
Total Tonnage		**23,470**		

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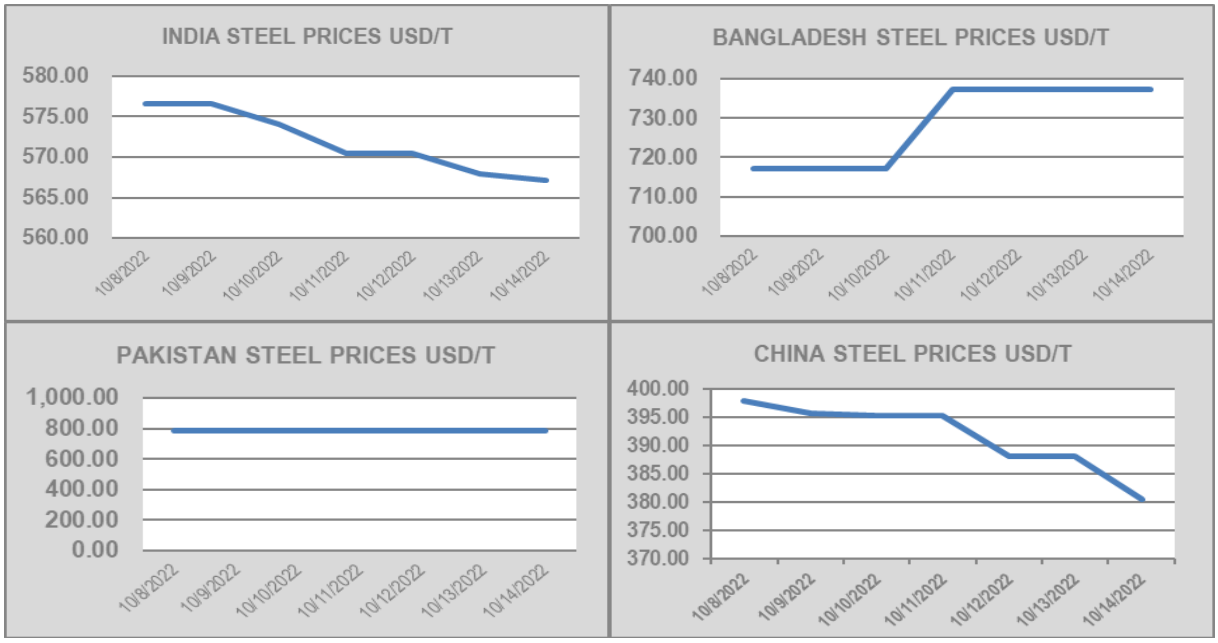
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
10/8/2022	576.59	47,000.00	788.29	175,000.00	717.17	71,000.00	397.90
10/9/2022	576.59	47,000.00	788.29	175,000.00	717.17	71,000.00	395.82
10/10/2022	574.08	47,000.00	788.29	175,000.00	717.17	71,000.00	395.36
10/11/2022	570.41	47,000.00	788.29	175,000.00	737.37	73,000.00	395.36
10/12/2022	570.41	46,800.00	788.29	175,000.00	737.37	73,000.00	388.17
10/13/2022	567.97	46,000.00	788.29	175,000.00	737.37	73,000.00	388.17
10/14/2022	567.09	46,200.00	788.29	175,000.00	737.37	73,000.00	380.51



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